Retail Sales Performance & Customer Behaviour: Final Report

Prepared from the Power BI dashboard (PowerBI_retail.pbix) and the underlying data model. Data covers 1 Jan 2020 to 6 Nov 2026.

1. Executive summary

The business is large, profitable and remarkably stable, but it is not growing, and it has never hit its sales target.

- **Scale:** 250,000 orders generated **$76.93M** of net sales and **$46.94M** of profit, a **61.0% profit margin**, on 469,896 units.
- **Growth is flat.** Annual sales have stayed between $11.46M and $11.69M for six years (2020 to 2025 CAGR: +0.4%). Jan to Oct 2026 is 1.2% below the same period of 2025.
- **Targets are structurally missed.** Sales achieved **89.4%** of target overall. All 83 months in the data fell short, in a narrow band of 87% to 93%.
- **Seasonality dominates the year.** November and December each run at about 2.2 times an average month. January falls about 78% from December every single year.
- **Profit quality depends on category and discounting, not on region or channel.** Accessories earn a 72.8% margin; Footwear only 50.0%. Margin drops from 66% on undiscounted lines to 41% above a 30% discount.
- **North America is the largest region** ($26.83M, 34.9%), followed by Europe, APAC and LATAM. Margins are identical (about 61%) across all four.

2. Data and scope

Item	Detail
Tables	Fact_Sales (250,000 rows), Dim_Product (192 products), Dim_Customer (5,000 customers), Date_Table, Monthly_Sales_Targets (1,328 rows)
Period	1 Jan 2020 to 6 Nov 2026 (2026 is a partial year)
Geography	4 regions, 17 countries
Categories	Accessories, Footwear, Men's Apparel, Women's Apparel (48 products each)
Segments	Returning, New, VIP, Wholesale
Channels	Web (45%), Mobile App (40%), Social Media (15%)

Measure definitions used by the dashboard. Total Sales is the sum of Net_Sales (after discounts). Profit Margin is Profit divided by Total Sales. Sales PY uses SAMEPERIODLASTYEAR on the date table. Total Target sums Monthly_Sales_Targets for the Month, Region and Category combinations that have sales. All figures in this report use those same definitions.

Data quality checks passed: no missing values, no duplicate order IDs, every product and customer key resolves to its dimension, Net_Sales = Total_Sales minus Discount_Amount on every row, and Profit =

Net_Sales minus Total_Cost on every row. Customer segment in Fact_Sales matches Dim_Customer on 100% of rows.

3. Headline KPIs

KPI	Value
Total Sales	$76,933,481
Total Profit	$46,943,393
Profit Margin	61.0%
Total Quantity	469,896 units
Orders	250,000
Average order value	$307.73
Average units per order	1.88
Average discount	10.7%
Target achievement (all time)	89.4%

4. Year-over-year performance

Year	Sales	Profit	Margin	YoY
2020	$11.47M	$6.99M	60.9%	n/a
2021	$11.60M	$7.08M	61.0%	+1.1%
2022	$11.47M	$6.99M	60.9%	-1.1%
2023	$11.46M	$6.99M	61.0%	-0.1%
2024	$11.57M	$7.05M	60.9%	+1.0%
2025	$11.69M	$7.13M	61.0%	+1.0%
2026 (to 6 Nov)	$7.67M	$4.73M	61.6%	n/a

Reading the trend. The business behaves like a mature, steady-state operation: year-on-year movement never exceeds about 1%. The last two years (Nov 2024 to Oct 2026) total $23.22M, only 0.8% above the prior two years ($23.04M).

2026 is slightly behind 2025. Comparing like for like (Jan to Oct), 2026 is 1.2% lower. By quarter the gap is -3.1% in Q1, -0.9% in Q2 and -1.3% in Q3.

Year-over-year by dimension (2025 vs 2024):

Dimension	Faster	Slower
Region	LATAM +5.9%, North America +1.7%	APAC -0.5%, Europe -0.1%
Category	Women's Apparel +3.9%	Footwear -0.6%
Segment	New +5.4%, Wholesale +1.7%	VIP -4.1%, Returning -0.6%

5. Region-wise performance

Region	Sales	Share	Profit	Margin	Target achievement
North America	$26.83M	34.9%	$16.38M	61.0%	89.7%
Europe	$23.05M	30.0%	$14.05M	60.9%	89.1%
APAC	$19.45M	25.3%	$11.88M	61.1%	89.3%
LATAM	$7.62M	9.9%	$4.64M	60.9%	89.8%

Which region contributed the highest total sales? North America, with $26.83M (34.9% of sales and 34.9% of profit). Within it, Mexico, Canada and the USA are almost identical at about $8.9M to $9.0M each.

Additional observations:

- Margin does not differentiate regions (all 60.9% to 61.1%), so regional ranking is purely about volume.
- Sales per country is similar inside each region: Europe's five countries each sell about $4.6M, APAC's five about $3.9M, LATAM's four about $1.9M. LATAM is smaller because it has fewer, smaller markets, not because individual countries underperform.
- LATAM is the fastest-growing region (+5.9% in 2025) from the smallest base.
- Regional target achievement sits in a 0.7-point band, so no region is a standout problem. The largest absolute shortfalls are in North America (-$3.09M) and Europe (-$2.82M) simply because they are the biggest.

6. Sales trend and seasonality

What is the trend of monthly sales over the last two years? Monthly sales repeat a near-identical shape each year. Sales ($K):

Month	2024	2025	2026
Jan	458.6	471.9	469.1
Feb	423.8	432.6	402.4

Month	2024	2025	2026
Mar	813.4	826.2	804.8
Apr	763.7	775.8	757.1
May	816.2	793.8	829.0
Jun	1,023.6	1,026.0	986.4
Jul	729.4	697.7	706.7
Aug	751.0	743.0	749.5
Sep	771.7	809.9	765.8
Oct	764.7	785.1	800.6
Nov	2,087.3	2,122.7	402.9 (6 days only)
Dec	2,170.5	2,206.7	no data yet

Seasonality index (average of 2020 to 2025, where 1.00 is an average month): Jan 0.48, Feb 0.44, Mar 0.85, Apr 0.80, May 0.83, Jun 1.05, Jul 0.74, Aug 0.76, Sep 0.82, Oct 0.82, **Nov 2.18, Dec 2.24**.

- Q4 delivers roughly 43% to 44% of annual sales; Nov and Dec together about 37%.
- June is a secondary peak (index 1.05).
- November 2026 is incomplete: $402.9K over six days is about $67K per day, in line with November 2025 (about $71K per day).

During which month did sales drop significantly? January, every year. Sales fell 77% to 79% from December to January (2021 to 2026), and February dips a further 8% to 14%. The second consistent drop is **July**, which falls 28% to 32% from the June peak. These are recurring seasonal patterns, not one-off shocks. The only other large decline on the dashboard, November 2026 (-50% vs October), is an artifact of the month being incomplete.

Outlook (optional forecast). Scaling last year's November and December by the 2026 year-to-date ratio (-1.2%) gives about $2.10M for November and $2.18M for December, and a full-year 2026 estimate of roughly **$11.55M**, about 1.2% below 2025. This is a simple seasonal-naive estimate, not a statistical forecast.

7. Product performance

Top 5 products by sales:

Rank	Product	Category	Sales	Margin	Units
1	#e2ad71 Outerwear 178	Women's Apparel	$937.8K	68.9%	2,558
2	#523ac9 Sandal 986	Footwear	$867.6K	57.5%	2,535

Rank	Product	Category	Sales	Margin	Units
3	#b9cc3f Activewear 377	Women's Apparel	$809.5K	68.4%	2,416
4	#3304a0 Watches 890	Accessories	$805.6K	77.1%	2,480
5	#b23359 Jacket 925	Men's Apparel	$800.3K	66.7%	2,476

Key observations

- **No product dependency.** The top 5 products make up 5.5% of sales and the top 10 only 10.5%. Product sales range from $85K to $938K.
- **Rank is driven by price, not volume.** Every product sells nearly the same number of units (2,227 to 2,632, average 2,447). The higher-priced items (Outerwear, Watches, Sunglasses) therefore rise to the top.
- **Best sellers are not always the best earners.** Sandal 986 is #2 by sales but earns a 57.5% margin, while Watches 890 earns 77.1% on similar revenue. By profit, the top 5 are Outerwear 178, Watche 890, Sunglasse 762, Sunglasse 206 and Watche 883, which is Accessories-heavy.
- **Weakest margins are all Footwear:** Boot 263 (27%), Formal 947 (29%), Sneaker 447 (30%), Formal 298 (30%), Sandal 572 (32%). The highest margins are Jewelry 319 (78%), Watches 890 and Sunglasses 442 (both 77%).

Sub-category view. Activewear is the largest ($9.66M, 12.6% of sales). Sunglasses and Watches have the highest margins (73% and 74%); Boots, Formal and Sandals the lowest (48%, 48%, 49%).

8. Category profitability

Category	Sales	Share	Profit	Margin	Avg discount	Avg order value
Women's Apparel	$21.12M	27.5%	$13.25M	62.7%	11%	$337
Footwear	$20.59M	26.8%	$10.26M	49.8%	13%	$331
Accessories	$18.58M	24.1%	$13.52M	72.8%	9%	$298
Men's Apparel	$16.64M	21.6%	$9.92M	59.6%	10%	$265

Which product category has the highest profit margin? Accessories at 72.8%, and it also has the highest total profit ($13.52M) despite ranking third in sales. Footwear is the problem category: second-largest in sales but lowest margin (49.8%), with the heaviest discounting (13%). Footwear's gross margin before discounts is 57%, compared with 75% for Accessories.

Discounting and margin. Discount depth is the clearest controllable lever in the data (correlation between discount % and margin: -0.47).

Discount band	Lines	Margin
None	29,036	66.3%

Discount band	Lines	Margin
0% to 5%	61,831	64.6%
5% to 10%	57,173	62.6%
10% to 20%	64,756	59.0%
20% to 30%	24,135	53.0%
Above 30%	13,069	41.1%

Only 483 order lines (0.19%) are loss-making, totalling -$5.5K, but 481 of them are Footwear (Boots 157, Formal 136, Sandals 101, Sneakers 87) at an average discount of 37.6%. The financial impact is small; the signal is that deep footwear discounts push items below cost.

9. Customer behaviour

Who are the top 5 customers based on revenue?

The dashboard's Top 5 chart groups by **Customer_Id**. The top five are as follows

Rank	Customer	ID	Segment	Sales	Orders
1	Luis Lynch	CUST-03612	New	$26,977	69
2	Barbara Clark	CUST-03975	Returning	$26,839	65
3	Daniel Whitaker	CUST-03299	Returning	$25,543	59
4	Jeffrey Kaiser	CUST-02737	New	$25,438	74
5	Anthony Johnson	CUST-03059	VIP	$25,338	65

Customer base characteristics

- **Very low concentration.** The top 5 names account for 0.4% of sales; the top 10% of customers (500 IDs) account for 13.6%. Average revenue per customer is $15.4K (range $6.1K to $27.0K).
- **Highly active base.** Between 4,973 and 5,000 of the 5,000 customers buy in every year, each averages about 50 orders over the period, and about 80% bought within the last 90 days.
- **Customers are not tied to a region.** Each customer buys in three or four of the four regions, so "customer region" on the drill-through page shows several regions rather than a home region.

Segment profitability

Segment	Customers	Sales	Share	Profit	Margin	Profit per customer	Avg discount	AOV
Returning	1,970	$30.89M	40.2%	$19.06M	61.7%	$9,673	11%	$314
New	1,771	$27.01M	35.1%	$16.39M	60.7%	$9,255	13%	$305

Segment	Customers	Sales	Share	Profit	Margin	Profit per customer	Avg discount	AOV
VIP	783	$12.77M	16.6%	$8.06M	63.1%	$10,299	7%	$324
Wholesale	476	$6.26M	8.1%	$3.43M	54.8%	$7,208	6%	$265

Which segment of customers is more profitable? It depends on the lens:

- **Total profit:** Returning ($19.06M), because it is the largest segment.
- **Margin and profit per customer: VIP** (63.1% margin, $10.3K profit per customer) with the lowest discounting among retail segments (7%).
- **Least profitable:** Wholesale, with a 54.8% margin despite the lowest discounts. The reason is structural: its average unit price is about $150 versus about $187 for other segments and its cost ratio is 43% versus 34%. Wholesale is lower margin in every category.
- **New customers** get the deepest discounts (13%) and the lowest retail margin (60.7%).
- **Watch-point:** VIP sales fell 4.1% in 2025, while New grew 5.4%.

10. Sales vs target

What percentage of sales target is achieved this quarter?

Period	Sales	Target	Achievement
Q4 2026 to date (1 Oct to 6 Nov)	$1.20M	$1.35M	**88.8%**
Q3 2026 (last full quarter)	$2.22M	$2.47M	**90.1%**
All time	$76.93M	$86.05M	89.4%

The target table for Nov 2026 only covers the days elapsed, so the Q4 figure is a like-for-like comparison. There is no target in the data for December 2026.

Key observations

- **Zero of 83 months met the target.** Monthly achievement ranges from 87% (e.g. Apr 2020, Dec 2025) to 93% (Jul 2021). The average annual shortfall is about $1.3M to $1.5M.
- **The miss is uniform.** Every year (89% to 90%), regions (89.1% to 89.8%) and category (89.2% to 89.7%) land in the same narrow band. Such a consistent gap points to targets set as a flat uplift (about 12%) on a base that does not grow, rather than to operational failure in any one area.
- **The largest absolute gaps** are Women's Apparel (-$2.55M) and Footwear (-$2.40M) by category, and North America and Europe by region.

11. Is quantity correlated with profit?

The answer depends on the level of aggregation:

Level	Correlation (r)	Interpretation
Order line	0.61	Moderate to strong. Profit per unit is about $100 whatever the quantity.
Customer	0.78	Strong
Month	0.998	Near-perfect
Product (192)	0.10	None. Units are almost equal across products.
Category (4)	0.14	None. Units are within 1% of each other.

Where quantity genuinely varies (orders, customers, months), more units mean more profit, roughly $100 of profit per extra unit. Across products and categories, volumes are nearly identical, so profit differences come from **price and margin, not volume**. That is why the dashboard's category scatter (Quantity vs Profit) shows four points in a vertical line: about 117K units each, but profit from $9.9M to $13.5M. Profit per category is explained by margin (Accessories 73% vs Footwear 50%).

12. Channel and shipping

Channel	Sales	Share	Margin
Web	$34.42M	44.7%	61.0%
Mobile App	$30.89M	40.2%	61.0%
Social Media	$11.63M	15.1%	61.0%

Shipping method is split Standard 60%, Express 30%, Next Day 10%, also with identical margins. Neither channel nor shipping speed changes profitability or order value, so they are mix variables, not margin levers.

13. Recommendations

1. **Reset the target model.** With sales flat and every month at 87% to 93% of target, either targets are about 12% too high or a growth plan is missing. Rebase targets on run-rate and seasonality, or fund the initiatives needed to close the gap.
2. **Fix footwear pricing.** Cap discounts (for example at 20% to 25%) on Boots, Formal and Sandals. Footwear is 27% of sales but only 22% of profit; raising its margin by 5 points would add about $1.0M of profit on current volume.
3. **Shift mix toward Accessories.** At 72.8% margin and 9% average discount, each dollar of Accessories earns roughly 23 cents more profit than a dollar of Footwear.
4. **Smooth the seasonal trough.** January and February run at under half of an average month. Targeted campaigns and loyalty offers for those months, plus inventory and staffing plans built around the Nov to Dec peak (about 37% of annual sales).
5. **Protect VIPs and fix Wholesale.** VIP is the most valuable customer segment but declined 4.1% in 2025; build a retention programme. For Wholesale, review pricing tiers and cost-to-serve, since margin lags 6 to 8 points behind other segments at every discount level.

6. **Invest where growth exists.** LATAM (+5.9%) and New customers (+5.4%) are the only meaningful growth pockets in 2025; test marketing spend there, while keeping New-customer discounts (13%) from eroding margin.

14. Answers to the follow-up questions

#	Question	Answer
1	Region with highest sales	North America, $26.83M (34.9%)
2	Monthly trend, last two years	Flat year on year (+0.8% over two years) with a strong repeating seasonal shape: low Jan/Feb, June bump, Nov/Dec peak at about 2.2x
3	Top 5 customers by revenue	By name as charted (unique customer ID): Luis Lynch, Barbara Clark, Daniel Whitaker, Jeffrey Kaiser, Anthony Johnson
4	Category with highest margin	Accessories, 72.8%
5	Target achieved this quarter	88.8% for Q4 to date; 90.1% for the last full quarter (Q3 2026)
6	Quantity vs profit correlation	Strong at order, customer and month level (r = 0.61 to 0.998); none at product or category level (r about 0.1)
7	Month of significant drop	January (about -78% every year), then July (about -30%)
8	More profitable segment	Returning for total profit ($19.06M); VIP for margin (63.1%) and profit per customer ($10.3K)